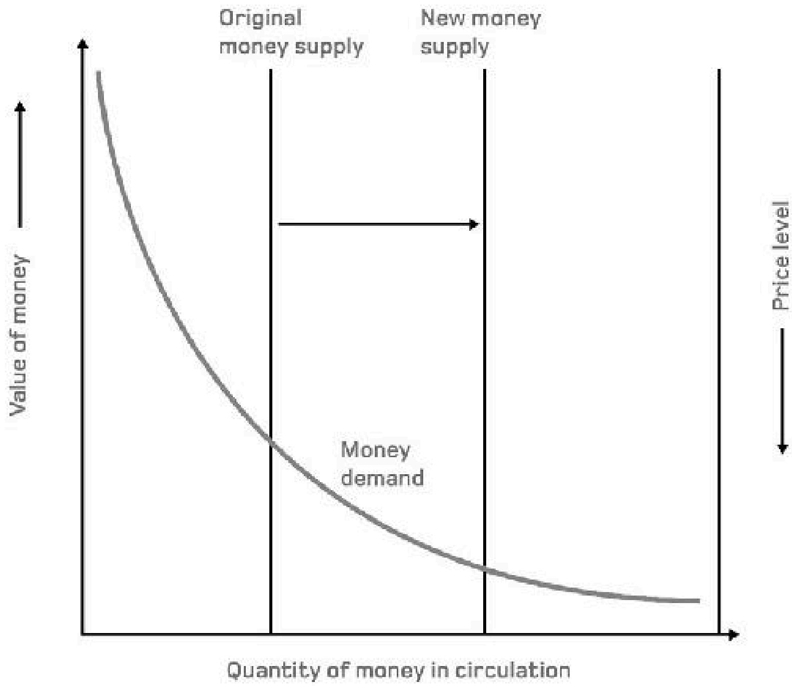
The quantity theory of money



When prices are high people need a lot of money to pay for goods. When money supply rises, money is worth less and prices increase.

Imagine that one day everyone is given £10,000 in cash. People rush to the shops to spend their windfall, but the same number of goods are available as before. One outcome of the windfalls would surely be an increase in prices as so many people chase after limited supply. This is the basic intuition behind the quantity theory of money, which in its simplest form states that if the money supply doubles, then so will the price level.

One implication of this theory is that changes in the money supply have no effect on the real economy. In practice, the impact of money on the economy may be more complicated than the theory suggests: some argue that increases in the money supply can affect real economic output, particularly in the short run. Nevertheless, the theory is a useful way of thinking about the difference between real economic variables – those referring to actual goods and services – and nominal variables – those expressed in money terms.